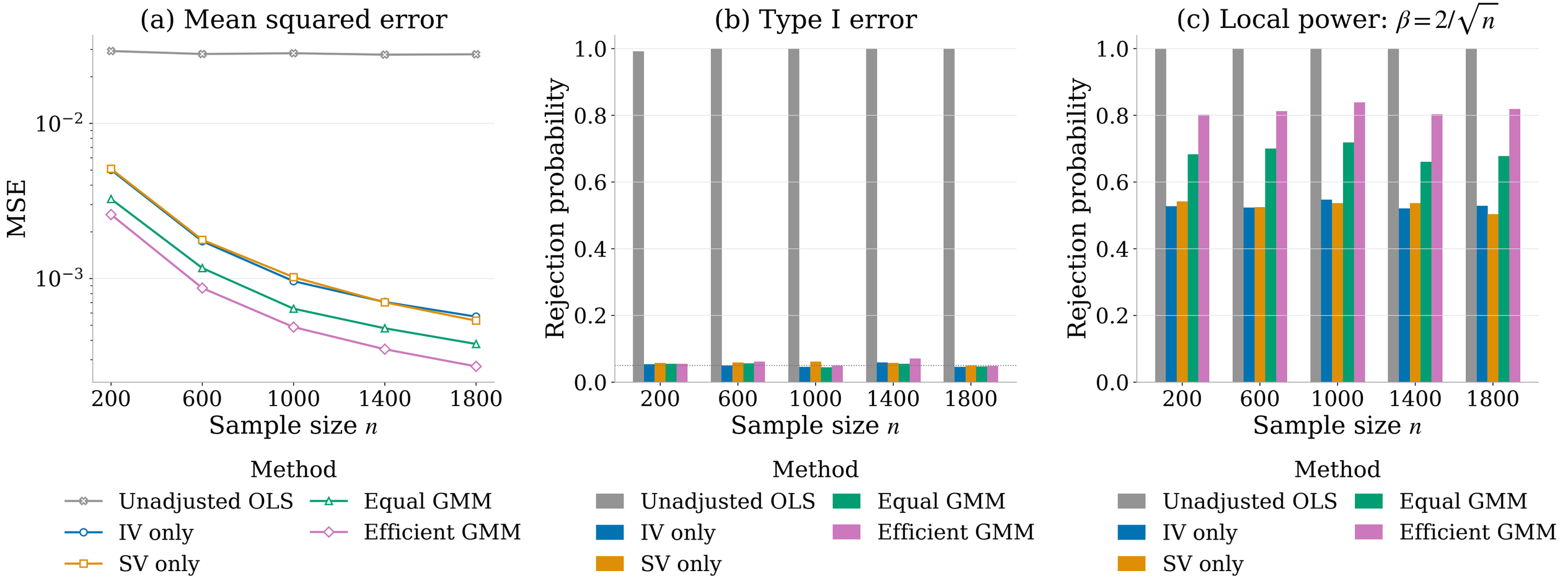
(a) Mean squared error
MSE
10^{-2}
10^{-3}
200
600
1000
1400
1800
Sample size n
(b) Type I error
Rejection probability
0.0
0.2
0.4
0.6
0.8
1.0
200
600
1000
1400
1800
Sample size n
(c) Local power: $\beta = 2/\sqrt{n}$
Rejection probability
0.0
0.2
0.4
0.6
0.8
1.0
200
600
1000
1400
1800
Sample size n
Method
Unadjusted OLS
IV only
SV only
Equal GMM
Efficient GMM
Method
Unadjusted OLS
IV only
SV only
Equal GMM
Efficient GMM
Method
Unadjusted OLS
IV only
SV only
Equal GMM
Efficient GMM